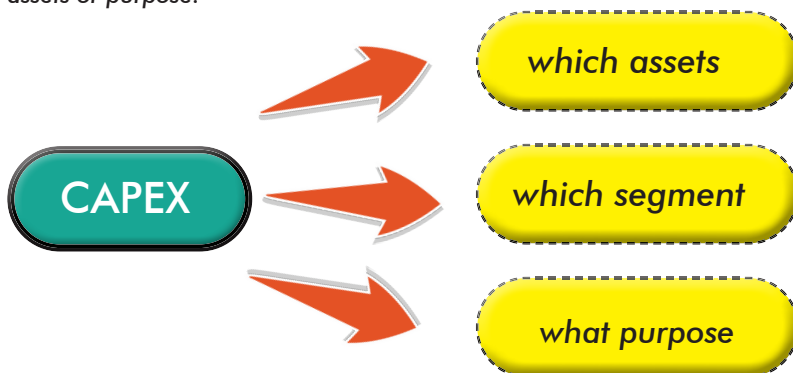


4

Where is the CAPEX going?

It is important to know where the CAPEX is going, *to which assets, which segment, and what kind of assets or purpose.*



As is clear from the last six years' data, the company has mainly invested in plants and machinery, which falls in the consumer segment. We can look at the direction of CAPEX from segment assets reported by the company as well as detailed assets break down in notes to accounts that we referred earlier. We will also get to understand CAPEX direction by management discussion in conference calls and annual reports.

Major Business Segments - Assets						
Consumer and Bazaar	2118	2521	3011	2608	3069	6353
B2B	388	435	508	1173	1383	1566
Others	39	42	46	79	76	21

As is seen from the major segments, the company has constantly added new assets under Consumer and Bazaar products segment. As a percentage, the company has tripled assets in Industrial products in last 3 years.

Provision for Bad debt	32	36	59	68	78	89
Reverse Float like items (Short term loans and advances)	54	70	98	99	148	148
One time recoverables (Short term loans and advances)	44	57	130	124	138	150
Fixed Assets - Productive	687	718	734	842	1057	1200
Fixed Assets - Unproductive	69	71	68	72	85	85
Gross block	1497	1614	1715	1898	2236	2483

In the last year, it grew for **consumers and Bazar products** which were stable for a while. Basis this we can say that the company expects growth in this section going ahead as it has invested aggressively. The company has mostly invested in Plants and Machinery i.e. productive assets and therefore expects growth in these verticals.